Day 118 — TNPSC Group 2A Study Material

Part A – General Studies: Current Affairs in Indian Economy & TN Dev. Admin. (11): RBI's June 2026 Monetary Policy Review

READING MATERIAL

Covers the RBI's June 2026 Monetary Policy Committee (MPC) meeting outcomes — its repo-rate decision and revised forecasts.

Q: What repo-rate decision did the RBI's MPC make at its June 2026 meeting?

A: Kept the repo rate UNCHANGED at 5.25% — a unanimous decision, maintaining the neutral policy stance adopted earlier in the year.

Q: How did the RBI revise its GDP growth forecast at this meeting?

A: Cut from 6.9% to 6.6% for the current fiscal year (a forward-looking FORECAST, distinct from the FY26 actual growth figure of ~7.7% covered separately).

Q: How did the RBI revise its inflation projection at this meeting?

A: Raised from 4.6% to 5.1%; core inflation (excluding food and fuel) for FY27 was also revised up, from 4.4% to 4.7%.

Q: What was India's retail inflation rate in May 2026, and what primarily drove it?

A: 3.9% (up from 3.5% in April 2026, the highest since January of the previous year) — driven largely by an uptick in FOOD inflation, while core inflation remained relatively benign.

Q: What factors does the RBI expect to push inflation higher going forward?

A: Partial pass-through of higher energy prices to domestic pump prices, rising input prices, and expectations of a lower-than-normal monsoon.

MOCK TEST (WITH ANSWERS)

1. At its June 2026 meeting, the RBI's MPC kept the repo rate at:

A. 5.00%

B. 5.25% ✓

C. 5.50%

D. 5.75%

Explanation: 5.25%. [medium, web-research]

2. At this meeting, the RBI revised its GDP growth forecast for the current fiscal year from 6.9% to:

A. 6.0%

B. 6.3%

C. 6.6% ✓

D. 6.9% (unchanged)

Explanation: 6.6%. [hard, web-research]

3. At this meeting, the RBI revised its inflation projection from 4.6% to:

A. 4.8%

B. 5.1% ✓

C. 5.4%

D. 5.7%

Explanation: 5.1%. [hard, web-research]

4. India's retail inflation in May 2026 was 3.9%, primarily driven by an uptick in:

A. Fuel inflation

B. Food inflation ✓

C. Housing costs

D. Healthcare costs

Explanation: Food inflation. [medium, web-research]

5. The RBI's June 2026 MPC decision on the repo rate was:

A. A majority decision (4-2)

B. A unanimous decision ✓

C. Deferred to the next meeting

D. Decided by the Finance Minister

Explanation: A unanimous decision. [medium, web-research]

Part B – Aptitude & Mental Ability: Simple Interest

READING MATERIAL

Simple Interest is 1 of 10 named Aptitude sub-skills. Real exam evidence shows TNPSC favors word-problem variants (doubling time, comparing two loans, fractional rates with month-based time) over the bare 'calculate SI' formula alone.

Q: Formula: What is the Simple Interest formula, and how do you get the doubling time from it?

A: SI = (Principal × Rate × Time) / 100. A sum DOUBLES when SI equals the Principal itself: P = (P×R×T)/100 → T = 100/R years. So at 8% per annum, doubling time = 100/8 = 12.5 years = 150 months.

Q: Real exam (2024): In how many months will Rs.2,000 double itself at 8% per annum simple interest?

A: T = 100/R = 100/8 = 12.5 years = 12.5 × 12 = 150 months.

Q: Real exam (2022): What is the simple interest on Rs.1,000 for one year at 10% per annum?

A: SI = (1000 × 10 × 1)/100 = Rs.100.

Q: Real exam (2024): Find the simple interest on Rs.68,000 at $16\frac{2}{3}$% per annum for 9 months.

A: Convert the mixed-fraction rate: $16\frac{2}{3}$% = 50/3 %. Convert months to years: 9 months = 9/12 = 3/4 year. SI = 68,000 × (50/3) × (3/4) / 100 = 68,000 × 12.5/100 = Rs.8,500. (The 3s cancel neatly between the rate's denominator and the time's numerator — recognizing that shortcut avoids messy fraction arithmetic.)

Q: Real exam (2025): A borrows Rs.16,000 at 12% p.a. simple interest, B borrows Rs.12,000 at 18% p.a. simple interest. In how many years will their total amounts owed (principal+interest) become equal?

A: Set up the equality: 16000 + 16000(0.12)t = 12000 + 12000(0.18)t → 16000+1920t = 12000+2160t → 4000 = 240t → t = $16\frac{2}{3}$ years.

Q: Method — finding the rate when given principal, time, and final amount: A sum of Rs.5,000 becomes Rs.6,200 in 3 years at simple interest. Find the rate.

A: SI = Amount – Principal = 6200–5000 = 1200. Rearranged formula: R = (SI×100)/(P×T) = (1200×100)/(5000×3) = 120000/15000 = 8% per annum.

MOCK TEST (WITH ANSWERS)

1. In how many years will a sum double itself at 5% per annum simple interest?

A. 10 years

B. 15 years

C. 20 years ✓

D. 25 years

Explanation: T = 100/R = 100/5 = 20 years. [easy, authored]

2. Find the simple interest on Rs.2,500 for 1 year at 12% per annum.

A. Rs.250

B. Rs.275

C. Rs.300 ✓

D. Rs.320

Explanation: SI = (2500×12×1)/100 = Rs.300. [easy, authored]

3. Find the simple interest on Rs.54,000 at $13\frac{1}{3}$% per annum for 6 months.

A. Rs.3,600 ✓

B. Rs.3,000

C. Rs.3,300

D. Rs.4,000

Explanation: $13\frac{1}{3}$% = 40/3%. 6 months = 1/2 year. SI = 54000×(40/3)×(1/2)/100 = 54000×40/600 = 54000×(1/15) = 3,600. [hard, authored]

4. C borrows Rs.20,000 at 10% p.a. simple interest, D borrows Rs.15,000 at 15% p.a. simple interest. In how many years will their total amounts owed become equal?

A. 8 years

B. 10 years

C. 20 years ✓

D. 25 years

Explanation: 20000+2000t = 15000+2250t → 5000 = 250t → t = 20 years. [hard, authored]

5. A sum of Rs.8,000 becomes Rs.9,440 in 3 years at simple interest. Find the rate per annum.

A. 5%

B. 6% ✓

C. 6.5%

D. 7%

Explanation: SI = 9440−8000 = 1440. R = (1440×100)/(8000×3) = 144000/24000 = 6%. [medium, authored]

6. What sum will yield Rs.900 as simple interest in 3 years at 6% per annum?

A. Rs.4,000

B. Rs.5,000 ✓

C. Rs.5,500

D. Rs.6,000

Explanation: P = (SI×100)/(R×T) = (900×100)/(6×3) = 90000/18 = Rs.5,000. [medium, authored]

Part C – General English: Prose: "The Dying Detective" — Arthur Conan Doyle

READING MATERIAL

A Sherlock Holmes mystery in which Holmes fakes a deadly illness to trick a murderer, Culverton Smith, into confessing — revealing that the 'dying detective' was never really dying at all.

Q: Who wrote "The Dying Detective", and what is his full name and nationality?

A: Sir Arthur Ignatius Conan Doyle — confirmed as a BRITISH writer by a real exam question.

Q: Real exam: Who inspired Arthur Conan Doyle to create the character of Sherlock Holmes?

A: Joseph Bell — confirmed by a real exam question (Bell was a professor known for his exceptional observation and deduction skills, which influenced Holmes's detective method).

Q: What is the basic plot set-up — why is Holmes apparently dying, and who does he insist on calling instead of a real doctor?

A: Holmes has been seriously ill for 3 days. His housekeeper, Mrs. Hudson, is worried and wants to bring in a doctor, but Holmes refuses any doctor except Dr. Watson, whom he eventually asks her to call.

Q: Who is Culverton Smith, and what is his connection to the murder victim, Victor Savage?

A: Culverton Smith is a planter who lived in Sumatra and has specialized knowledge of the rare disease Holmes appears to be suffering from. He is the man who murdered Victor Savage (his own nephew) using this disease, and is eventually arrested by Inspector Morton on that charge.

Q: Real exam: What does Watson see when he returns to Holmes's room with Mrs. Hudson at the story's resolution?

A: Holmes was sitting up in bed — revealing that Holmes had never really been dying at all; the entire illness was a calculated ruse to trick Culverton Smith into revealing/confessing his guilt.

Q: Real exam: Where is the story/play's setting?

A: Sherlock Holmes's own bedroom (in his lodgings) — confirmed by a real exam question, ruling out Victor Savage's house, a New York apartment, or Dr. Watson's house as the setting.

Q: What object does Watson notice near the mantlepiece, relevant to the disease/murder weapon?

A: A small black-and-white ivory box — connected to how the deadly disease/infection was actually transmitted to victims.

MOCK TEST (WITH ANSWERS)

1. "The Dying Detective" was written by:

A. Mark Twain

B. Arthur Conan Doyle ✓

C. Ruskin Bond

D. Munshi Premchand

Explanation: Arthur Conan Doyle. [easy, question-bank-2022]

2. Sir Arthur Ignatius Conan Doyle was a ____ writer.

A. Irish

B. American

C. British ✓

D. French

Explanation: British. [medium, question-bank-2024]

3. Who inspired Arthur Conan Doyle to create the character of Sherlock Holmes?

A. Dr. Watson

B. Dr. Ainstree

C. Inspector Smith

D. Joseph Bell ✓

Explanation: Joseph Bell. [hard, question-bank-2025]

4. Whom does Holmes insist on calling, refusing all other doctors, while apparently dying?

A. Mrs. Hudson

B. Inspector Morton

C. Dr. Watson ✓

D. Culverton Smith

Explanation: Dr. Watson. [easy, web-research]

5. Culverton Smith, in the story, is revealed to be:

A. Holmes's old friend

B. A doctor treating Holmes

C. The murderer of Victor Savage ✓

D. A police inspector

Explanation: The murderer of Victor Savage. [medium, web-research]

6. When Watson returns to Holmes's room with Mrs. Hudson near the story's end, what does he see?

A. Holmes had died

B. Culverton Smith had escaped

C. Holmes was sitting up in bed ✓

D. Inspector Morton was already there

Explanation: Holmes was sitting up in bed — the illness was a ruse. [hard, question-bank-2022]

7. The setting of "The Dying Detective" is in:

A. Victor Savage's house

B. A New York city apartment

C. Dr. Watson's house

D. Sherlock Holmes's bedroom ✓

Explanation: Sherlock Holmes's bedroom. [medium, question-bank-2024]

8. Who eventually arrests Culverton Smith for the murder of Victor Savage?

A. Dr. Watson

B. Mrs. Hudson

C. Inspector Morton ✓

D. Holmes himself

Explanation: Inspector Morton. [medium, web-research]